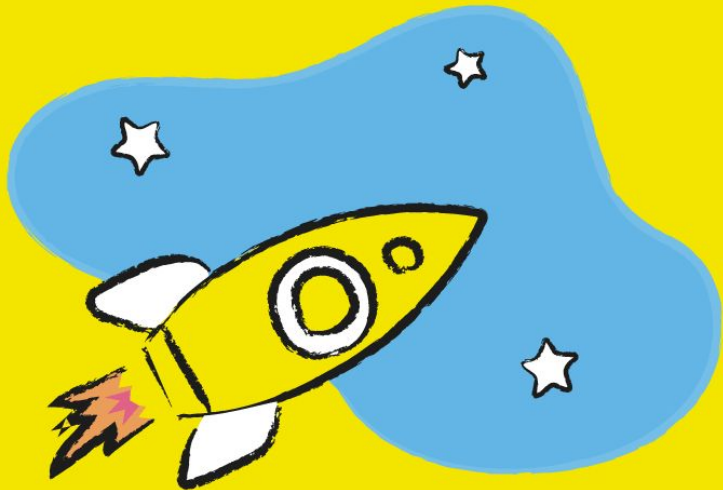




# Accelerating Growth

Analysing the UK's leading startup accelerator programme.

# A variety of ways to grow

We use eight criteria to identify high-growth and ambitious companies. Each of these is a sign of external validation that a business is either actively growing or creating ambitious growth plans.

Attending an accelerator is just one method of growth. Companies can attain any number or combination of these growth methods.

Every company included in this report has attended an accelerator programme, and may or may not have hit additional tracking triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



Academic spinouts

# What is an accelerator?

Simply put, an accelerator offers programmes to help startups grow.

The number of these programmes has grown dramatically in the last few years, with accelerators specialising in niche verticals and specific stages of company growth.

We believe (and our data shows) attending an accelerator is a good indicator of a company's potential to grow.

But with such a wide variety of accelerators and related programmes like incubators, startup studios and co-working spaces, it can be difficult to tell which of these programmes are true indicators of future success.

As such, we have a selection of strict criteria that each programme must meet in order to be included in our data →

**To be included in our analysis, accelerators must meet the following criteria:**



**The duration is a set period of time**



**The programme has a clear structure**



**The application process is competitive**



**There are no (or minimal) joining fees**

# Building partnerships

We've found that an increasing number of businesses are wanting to track and approach accelerator programmes and their alumni.

Building relationships with their cohort from an early stage can lead to long lasting business relationships, that become increasingly lucrative as the young companies continue to grow and fulfil their potential.

Some providers to high-growth companies also like to build partnerships with the accelerators themselves, strengthening their reputation and consolidating their relationship with each new year of applicants.

**61%**

of the UK's unicorns  
have attended an  
accelerator

**32%**

of UK businesses  
valued over £100m  
have attended an  
accelerator

# Key statistics

**9229**

Companies  
accelerated

**158**

Tracked accelerator  
programmes

**52**

Corporate-sponsored  
programmes

# Stages of evolution

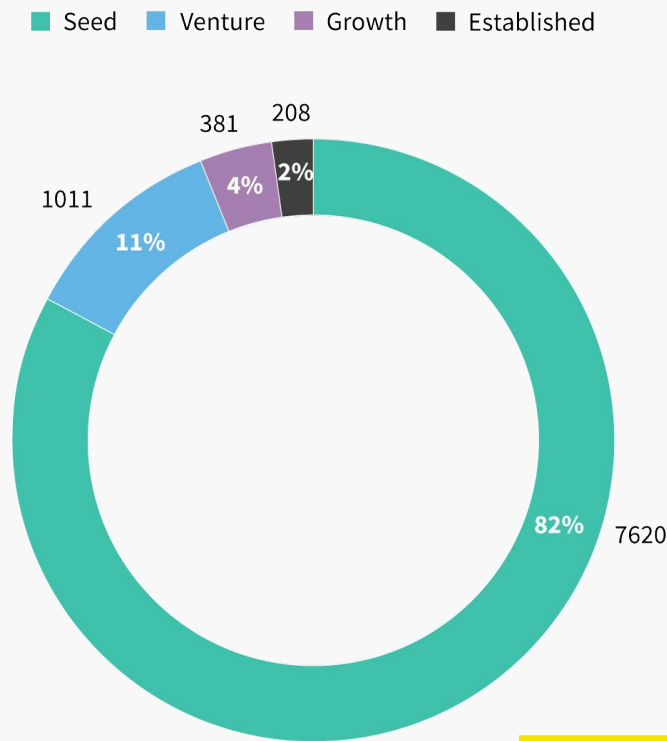
There are a range of different accelerators across the UK with different specialisations and areas of expertise. But the vast majority of programmes are focused on nurturing young, seed stage startups.

82% of companies are in the seed stage when they join a programme.

Just 4% are in the growth stage of evolution, but there are some big players operating in this part of the market.

For example, ELITE offers a programme of structured engagement to growing UK companies, supporting them to develop for the next stages of growth and investment. The majority of companies that the programme has supported were in the growth (35%) or established (18%) stages of evolution when they joined.

Stages of evolution of companies at start date



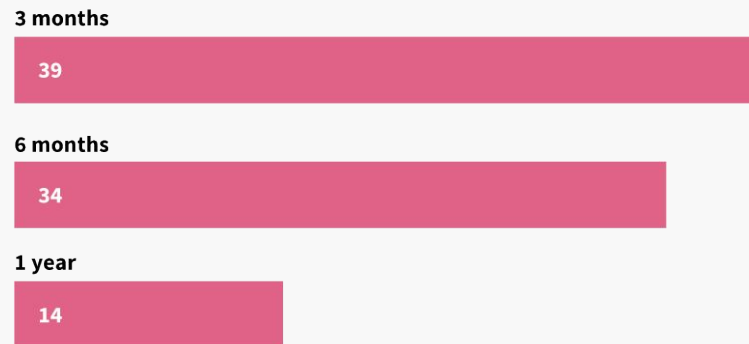
# Programme length

Acceleration programmes are all about getting a company off the ground and giving them the tools they need to realise their full potential. These are usually high intensity courses, with 27% lasting just three months. This is the conventional duration, and the one used by high-profile names like Y-Combinator and Techstars.

The second most common programme period is six months, followed by a year.

Of all the 158 accelerators we track, just five are scheduled for longer than a year. The accelerator with the longest duration is the Future Fifty programme, which supports businesses for up to two years.

## Most common lengths of UK accelerator programmes



# Perks and benefits

Each accelerator is unique, operating in different markets and providing an assortment of perks and benefits.

By far the most common of these is mentoring, where founders receive one-to-one support, advice and training. Of all active accelerators, 84% provide this perk.

As the old adage goes, it's not what you know, but who you know that counts. Accelerators are master introducers, with access to business networks, industry experts, and investor networks the next three most popular benefits.

## Most common benefits offered by UK accelerators

### Mentoring

132

### Access to Business Network

93

### Access to Network of Experts

85

### Access to Investor Network

79

### Workshops

78

### Financial Investment

74

### Business Advice

73



We've always had excellent feedback from our peer to peer networking sessions... it's not often you have the opportunity to speak to such a range of C suite execs who have faced similar challenges themselves and therefore learn from their mistakes and successes. More broadly, we've heard that the Future Fifty accolade in itself has massively helped our attendees with recruitment and investment.

Parveen Dhanda, Tech Nation, [UK Unicorns: Britain's \\$1b Businesses](#)

# Success rates

On their own, accelerators help few companies to the next stage of evolution. Of all the companies that attended an accelerator in 2015 and have not used any other methods of growth, just 2% have progressed to a later stage of growth, and only 1% have exited the market. The majority have stagnated, showing little growth since graduating. A massive 44% have not survived the last five years.

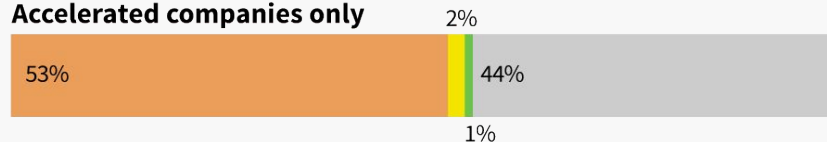
As a point of comparison, companies that received equity backing in 2015 and have not used any other methods of growth are five times as likely to have progressed and six times as likely to have exited. But stagnation and death rates still remain relatively high.

Companies that have accessed accelerators in 2015 and secured other forms of support or achieved further external validation have seen the most improvement in this cohort.

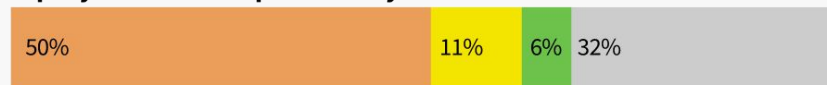
## Success rates of companies that accessed support in 2015

■ Unchanged ■ Progressed ■ Exited ■ Dead

### Accelerated companies only



### Equity-backed companies only



### Accelerated plus other methods of growth



# Corporate sponsors

Around a third of accelerator programmes have the backing of a corporation, such as Barclays Accelerator, managed by Techstars, and Geovation's PropTech Programme, sponsored by Ordnance Survey and HM Land Registry.

Backing from an organisation enhances the reputation of the accelerator, whilst also providing attendees with a valuable opportunity to meet contacts from the business.

Accelerators that have the backing of a corporation have far higher success rates than those that don't.

Of the companies that attended a corporate-sponsored accelerator in 2015, a third have gone on to further stages of growth, and 9% have exited the market, either through an IPO or an acquisition.

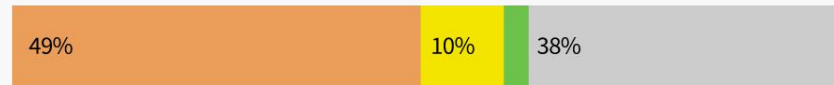
## Success rates of companies that attended an accelerator programme in 2015 by sponsorship status

■ Unchanged ■ Progressed ■ Exited ■ Dead

### Corporate sponsor



### No corporate sponsor



“Among the many benefits of our programmes is the corporate validation that they can provide for young companies developing new and innovative technologies. Validation from an industry leader can make all the difference when it comes to winning future investment.”

“We ran our first programme, JLAB, with John Lewis in 2014. A few corporates sponsored accelerators at that time, but none truly collaborated with startups. We saw a gap in the market for programmes where startups can work closely with corporates to develop and trial products. The corporate is fully engaged and experiences technologies which have the potential to transform their business.”

L Marks, [Accelerating the UK](#)

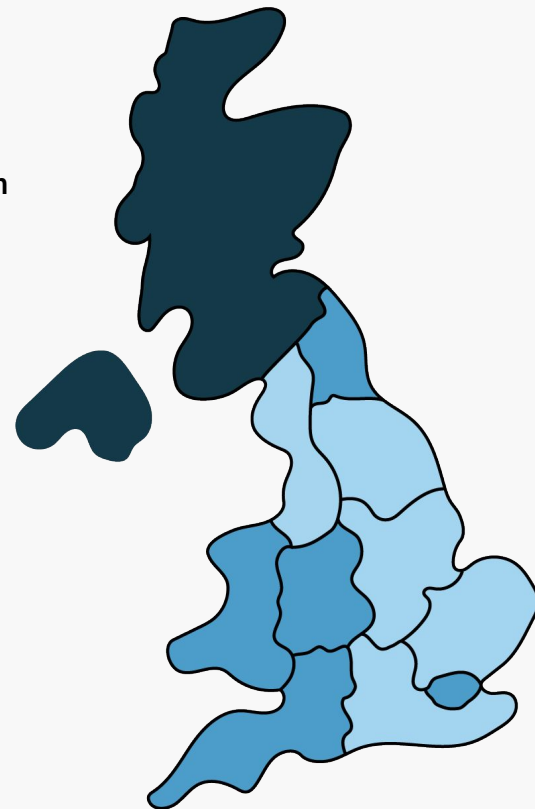
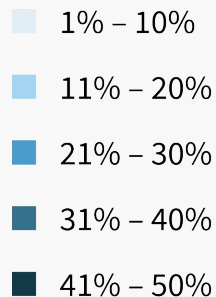
# Geography

Unsurprisingly, London has the highest number of accelerators in the UK — 59% reside in the Capital. But companies travel from far and wide to access the right accelerator programme.

Accelerators are a particularly popular method of growth for companies in Northern Ireland, where 41% of all high-growth companies have attended an accelerator, and Scotland, where that figure stands at 43%.

An impressive 14% of accelerated companies are registered in Scotland, which is mostly due to the Royal Bank of Scotland's Entrepreneur Accelerator network. This ran for three years in partnership with Entrepreneurial Spark. At the beginning of 2018, the bank brought the fully-funded programme in-house.

Percentage of high-growth companies in each region that have attended an accelerator



# Buzzwords

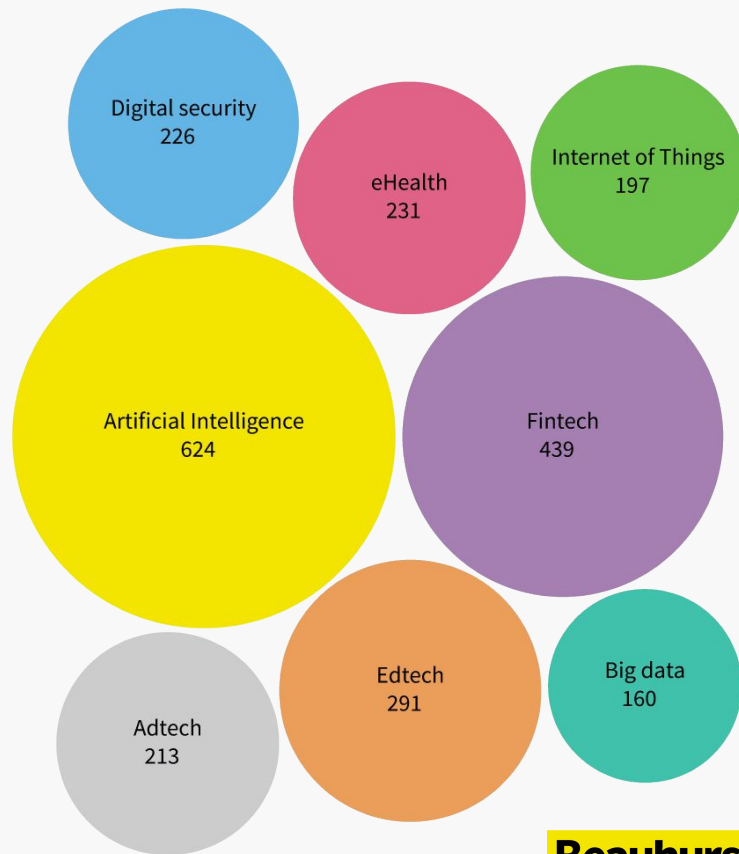
The most common buzzwords associated with accelerator programmes are artificial intelligence and fintech. Companies operating within these spaces get a lot of attention from investors and, consequently, the media.

There are now a number of programmes in place specifically catered to these verticals.

For example, AI for Good is a four-month programme for businesses, charities and NGOs developing AI in the areas of earth, accessibility, cultural heritage or humanitarian action. Run by Social Tech Trust and sponsored by Microsoft, it's supported 19 companies over the past two years.

Fintech Innovation Lab London offers mentoring, workshops and networking opportunities to fintech startups, and is backed by multinational consultancy firm Accenture.

## Top tech sectors by number of accelerator attendees



“Nimble accelerators should continuously evolve to stay relevant — from specialising in a particular stage of growth of the startup process to entering emerging markets, and focusing on partnerships with corporations.”

Startupbootcamp, [Accelerating the UK](#)

# Female founders

Over half of all high-growth businesses founded by all-female teams have grown using the support of an accelerator. This is the most popular method of growth for female-led businesses. So, why might this be?

We all know that female founders are less likely to raise finance than male founders, so it makes sense that they're accessing alternative modes of support.

Female founders may be drawn to the extra value and transparency that comes with a structured accelerator programme, rather than transactional methods of growth. There are also a selection of programmes built for female founders, to support them through the specific challenges they face, such as Hatch's Female Founders programme.

**Proportion of high-growth companies that have attended an accelerator programme by gender of founding team**

## **All-female founded companies**



## **Mixed-gender founded companies**



## **All-male founded companies**





“We've seen female founders opening up about their struggles and challenges to each other, especially as many have to survive and thrive in male-dominated environments. For example, it can be frustrating if you've got a female-specific product or service but you're only ever pitching to men.

Having a supportive group of fellow female founders around you can really help with relevant advice, sharing insights and best practices, as well as relevant contacts.”

Dirk Bischof, Hatch Enterprises, [Female Entrepreneurs](#)

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# Top 5 Accelerators in the UK

By number of total attendances

# 1 Entrepreneur Accelerator

**Manager** RBS

**Location** East of Scotland

**Total attendees** 2300



## Notable attendees



Previser



Oval Money



ABAKA



Shift

As the successor to the Entrepreneurial Spark programme, Entrepreneur Accelerator is a six-month programme run by NatWest, operating under the RBS brand in Scotland and Ulster Bank in Northern Ireland.

Through 12 programme hubs across the UK, attendees receive free office space, 1:1 coaching, bespoke events, as well as access to mentors, legal advice, its business networks and supply chains. Whilst the programme is fully-funded, Entrepreneur Accelerator does not take any equity.

Businesses can attend the accelerator up to three times, lasting a possible 18 months in total. Entrepreneur Accelerator has had 2300 attendances to date, with seven successful exits including Hyre, Bold and Pouch.

## 2 Business Growth Programme

**Manager** London & Partners

**Location** London

**Total attendees** 511



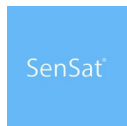
### Notable attendees

**kantox**  
Tomorrow's FX today

Kantox



Metal



SenSat



UENI

This free, three-month programme supports London-based SMEs through mentoring schemes, workshops, and tailored growth plans, alongside opportunities to collaborate with large corporates. Following graduation from the programme, businesses have access to exclusive events.

In order to apply to the programme, companies must first be registered in the UK, have between three and 250 employees, be based in — and looking to grow across — London, and have a turnover of less than £40m.

The programme has had 511 attendees, with three exits from Dovetail Lab, Synergy, and The Booking Factory.

## 3 PwC Scale Programmes

**Manager** PwC Scale Programmes

**Location** London

**Total attendees** 193



### Notable attendees



Privitar

Cera<sup>+</sup>

Cera



Lumeon



Tessian

PwC Scale Programmes currently runs seven programmes: LawTech, Retail, Cyber, FinTech, PropTech, and Aerospace, Defence & Security, plus a programme focused on business in the South East.

Each lasts ten weeks and consists of three core elements: curated events (like group masterclasses), individual coaching, and bespoke business support.

PwC Scale Programmes charge a fixed fee for attendance, the cost of which varies between its programmes.

To date, the accelerator has had 193 attendances and nine successful exits.

## 4 Entrepreneur First

**Manager** Entrepreneur First

**Location** London

**Total attendees** 187



### Notable attendees



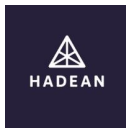
Tractable



pi-top



Permutive



Hadean

Entrepreneur First matches ambitious individuals with potential co-founders.

Alongside team building and idea generation, attendees receive funding from day one, the opportunity to pitch to the investment committee, and expert training.

To date, the London-based accelerator has supported 187 attendees, 121 of which have gone on to secure investment, with an average amount of £67k.

There have been ten successful exits by attendee companies, including Magic Pony Technology, bought out by Twitter for \$150m in 2016, 18 months after its founders met on the programme.

## 5 Future Fifty

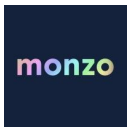
**Manager** Tech Nation

**Location** London

**Total attendees** 169



### Notable attendees



Monzo



Bulb



Deliveroo



Babylon

Future Fifty provides late-stage growth programmes, specifically aimed at the UK's leading tech businesses.

Managed by Tech Nation, the two-year programme provides peer-to-peer learning networks, masterclass workshops led by global experts, as well as sessions with government officials and ministerial roundtables.

To apply, businesses must have at least £5m in revenues or have raised a minimum of Series B in funding and can prove 50% year-on-year growth.

The Future Fifty accelerator has had 169 attendees to date, with 37 successful exits worth a combined £5.25b.

# Are you looking to work with high-growth companies?

We don't blame you, they're an interesting (and valuable) bunch.

Explore and understand **all** of the UK's ambitious companies on the Beauhurst platform, from early stage startups to high-growth scaleups.

Our **world-class data** and **state-of-the-art tools** enable hundreds of service providers to find, engage and win exciting new business, **in less time than ever before.**

Don't believe us? Click the button below and we'll be in touch to show you the platform and help you to find your next client — all in 30 minutes.

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